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REPUBLIQUE DE VANUATU

SECRETARIAT DU COMMISSION DE
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PUBLIC SERVICE COMMISSION OF VANUATU

GUIDELINES FOR PREPARING ANNUAL REPORTS IN THE VANUATU PUBLIC SERVICE

2021

Foreword

The revised *Guidelines for Preparing Annual Reports in the Vanuatu Public Service* have been prepared by the Public Service Commission with the assistance of the Workplace Innovation Team (WIT) to support Public Sector Reform – particularly in the areas of institutional improvements and innovation in the Vanuatu Public Service. Consultations have also been held with the Department of Strategic Policy, Planning and Aid Coordination (DSPPAC) and the Ministry of Finance and Economic Management (MFEM).

Subject to Article 60 of the Constitution and to the provisions of the Public Service Act 1998, Director Generals are required to prepare their Annual Reports by 31st March each year and Ministers are required to table the Report in Parliament within 14 sitting days following receipt of the reports.

ANNUAL REPORT (Excerpt from Public Service Act 1998)

20. (1) A Director-General is to be responsible to the appropriate Minister for:
- (a) carrying out the functions and duties of the ministry including the implementation of Government policies; and
 - (c) complying with the Public Finance and Economic Management Act 1998;
 - (g) providing a Corporate Plan in a form, content and at a time directed by the Commission; and
 - (h) providing an Annual Report in accordance with guidelines set by the Commission (after consultation between the Commission and Director-General of the Ministry of Finance and Economic Management) with the first annual report to be furnished within 90 days of the end of the financial year;
- (3) The Minister must table the Annual Report provided under paragraph (b) of subsection (1) in Parliament within 14 sitting days of receipt of the report.

It is noted that the Annual Report reports against the approved Corporate Plan of each Ministry. The Annual Report provides specific detail for the year preceding on progress made against the Ministry's Annual Development Report (ADR) targets progressing the delivery of the National Sustainable Development Plan, with specific details provided on achievement of Budget Narrative targets and allocated projects under the Government Investment Plan (GIP). The Annual Report must also comply with the PFEM Act by providing a Statement of Representation, a Statement of Appropriation, an Expense Summary Report as well as a Statement of Commitments & Contingencies.

The revised Guidelines have been developed to assist Director Generals and the Departments and agencies of each Ministry to meet these responsibilities proscribed by the Public Service Act particularly in response to the Right To Information Act 2016 (Cap13) and the recent review of the Public Finance and Economic Management (PFEM) Act. The revision of the PFEM Act, mandating a 5 year planning framework for Corporate Plans has provided an opportunity to address amendments to the Corporate Planning Guidelines and therefore in turn to clarify the inter-related format of Annual Reports.


Simil Johnson
Chairman
Public Service Commission
2021



GLOSSARY OF TERMS USED IN GUIDELINES

Term	Definition
Activities	Activities are aligned within the Programs (specified in Budget Narratives) of the Ministry to deliver the objectives of Ministry Programs. Activities should be developed, bearing in mind the challenges identified to ensure delivery strategies can be implemented. Furthermore, the activities in the Corporate Plans should not only be informed by the NSDP goals and objectives but also by any other strategic policy documents that are relevant to those areas being planned, including any Sector Plans or Recovery Strategies that may be in place.
Objectives	Objectives in the Corporate Plan are the over-arching organisational goals to be reached within the main program areas of activity of the Ministry. They should derive more or less directly from the NSDP, as expressed in the Budget Narratives. They express the expected outcomes (changes in the life of the target population) of the Ministry's endeavour. These objectives will be the same objectives as appear in the Budget Narrative.
Outcome	An Outcome can be expressed as a change in skills, attitudes, knowledge, behaviours, status, or condition, including life condition. An outcome is a long term Impact Indicator. In the Vanuatu Government, outcomes are linked to the NSDP and objectives and are mapped against the Programs.
Output	Outputs (Service Targets/Indicators) are mapped against each Activity included in the Budget Narratives. In aligning targets to outcomes, Ministry planners will start with the baseline target level and project the desired level of improvement (taking into consideration available resources over a specific time period).
Program	A Program establishes the structure for internal responsibilities while providing clear line of sight regarding Ministry objectives. Programs have a broad focus, with most ministries developing at least two and most likely, no more than six strategic programs for the Corporate Plan. The identified Programs form the basis of the Budget Narratives against which the Appropriations Budget is allocated.
Risks	A risk is a factor that may make it difficult to achieve delivery of a planned activity. Options should be considered to lessen or mitigate against an identified risk
Service Targets	Service Targets or outputs are mapped against each Budget Narrative Activity. In aligning targets to outcomes, Ministry planners start with the baseline target level, and project the desired level of improvement (taking into consideration available resources over a specific time period). The Service Target indicates what the program will produce, with the resources provided to meet the identified need which the objectives are intended to address. Specific targets are expressed to measure results.
Strategic Direction	The Strategic Direction (often referred to as a Strategic Objective) of the Ministry includes the central forces that move the Ministry towards intended objectives, in particular the NSDP. This aligns the vision, mission, and core values so that strategies can be designed to reach the desired goal outcomes.
Strategy	A strategy is a plan or tactic to be followed to achieve objectives and related activities, considering resources needed and the potential risks.
SMART Indicators	A SMART indicator or target is: Specific – clearly defined to anyone that has a basic knowledge of the project, program or policy. Measurable – to be counted, observed, analysed, tested or challenged. Achievable – is practical and can be done in time & with available resources – not too ambitious Relevant – contributes to the value of the activity Time-Bound – has clear dates for implementation/completion

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Introduction

Purpose of Annual Reports

The Annual Report of Government Ministries and Agencies is a functional document designed to tell the Government, the Parliament and the people of Vanuatu what the organisation has been doing and has achieved over the past year. The information contained in an Annual Report varies depending on the type of organisation but, in general, it describes what the Ministry does, how it does it, where the money comes from and how the money is spent. It also addresses the organisation's role in the development and implementation of government policy, the administration of programs, and the progress made, difficulties encountered and achievements made against the objectives of the organisation's Corporate Plan for the relevant year and the Budget Narratives.

The account that an Annual Report offers is available for scrutiny by the Parliament and the public, and is of lasting value as a record of what the Ministry has achieved.

Reporting Requirements

Subsection 20(1)(h) of the *Public Service Act 1998* requires Director Generals to be responsible to the appropriate Minister for providing an Annual Report in accordance with guidelines set by the Public Service Commission. These are to be developed after consultation between the Public Service Commission and Director General of the Ministry of Finance and Economic Management.

Subsection 20(3) requires the Minister to table the Annual Report within 14 sitting days of receipt of the report.

It is recognised that the *Parliament requires Annual Reports to be tabled in both English and French* and the translation of the report may delay the tabling. However, it is important for accountability purposes that the report is tabled as soon as possible.

Under the *Public Service Act 1998*, Director Generals are required to prepare their Annual Reports by 31st March each year and Ministers are required to table the Report in Parliament within 14 sitting days following receipt of the reports.

ANNUAL REPORT (Excerpt from Public Service Act 1998)

20. (1) A Director-General is to be responsible to the appropriate Minister for:
- (a) carrying out the functions and duties of the ministry including the implementation of Government policies; and
 - (c) complying with the Public Finance and Economic Management Act 1998;
 - (h) providing an Annual Report in accordance with guidelines set by the Commission (after consultation between the Commission and Director-General of the Ministry of Finance and Economic Management) with the first annual report to be furnished within 90 days of the end of the financial year;
- (3) The Minister must table the Annual Report provided under paragraph (b) of subsection (1) in Parliament within 14 sitting days of receipt of the report.

The *Public Finance and Economic Management Act 1998* requires Director Generals to present an Annual Report as specified by the Minister of Finance. Such specifications are set out in the Act.

It has been determined that these reports should be combined so that Director Generals will have to provide only one report rather than two.

It should be noted there is no legislative requirement for Departments to prepare Annual Reports. Reports on their activities and performance will appear in the Ministry's Annual Report.

Annual Reports Should Comply With These Guidelines

Ministries should prepare their Annual Reports in accordance with these Guidelines to ensure that the account of operations in each report may serve as a record of the Ministry's year of operation and as a basis for assessment of its performance and the performance of the Director Generals.

The Annual Report Guidelines will continue to be amended and evolve as the Ministry's experience in preparing Annual Reports and the Parliament's experience in scrutinising them indicate ways in which reporting may be improved.

Reporting Style and Process

The Annual Report should be concise and direct. Paragraphs should be kept reasonably short. The narrative description in the Corporate Overview in the body of the Report should be no more than 3-5 pages. The Annual Report is an accountability document. It must not misrepresent what the true position is with respect to the activities of the Ministry.

The Minister may have to answer questions in the Parliament on its contents. To ensure the accuracy and timeliness of preparing reports, Director Generals may consider nominating an officer such as the Executive Officer to coordinate the preparation of the report on behalf of the entire Ministry.

Furthermore, relevant content for the report should be captured throughout the year as issues occur. For example, Director Generals may introduce a standing item at monthly meetings with Directors, as required by Public Service Instruction No. 1 of 1999, in which each Director lists activities occurring in their respective Department/Unit over the preceding month, highlighting achievements, progress made against performance measures determined in the Corporate/Business Plan and any difficulties experienced and proposed solutions.

Such reports should be retained by the relevant Director to be considered for inclusion in Department/Unit contribution to the Ministry Annual Report.

Timing

The Report must be furnished by the Director General to the Minister by 31 March each year. At the same time a copy should also be provided to the Public Service Commission through the Secretary for distribution to other central agencies. Central agencies will consider the reports from their own interest/perspective and some general comments may be provided to Ministries for consideration in their next phase of reporting.

Items to Include in Annual Report

Minister's Statement

The Annual Report should contain a brief introduction to the Report and a statement by the Minister that the report has been prepared under Subsection 20(1)(h) of the *Public Service Act 1998* and is in accordance with guidelines referred to in that Subsection. The *Public Finance and Economic Management Act 1998* {Section 30(3)} also requires a statement of responsibility for the financial statements of the Ministry to be prepared and signed by the Minister.

Director General's Statement

The Annual Report should contain a brief introduction to the Report and a statement by the Director General that the report has been prepared under Subsection 20(1)(h) of the *Public Service Act 1998* and in accordance with guidelines referred to in that Subsection. The *Public Finance and Economic Management Act 1998* {Section 30(3)} also requires a Statement of Responsibility for the financial statements of the Ministry to be prepared and signed separately by the Minister.

The Director General's Statement could usefully provide in table format an overview of issues, progress in resolving these issues and ways forward.

Corporate Structure

The Annual Report should contain an organisation chart with any explanatory matter necessary in understanding it, showing the corporate structure of the Ministry as at the end of the reporting year.

The Annual Report should contain a summary of any significant changes in the structure of the Ministry during the year.

Corporate Overview

The Annual Report should contain a statement of the Ministry's Functions, Vision, Mission, Values and Objectives.

1. Report Against Relevant Corporate Plan Objectives

The Annual Report should spell out each objective listed in the Ministry's Corporate Plan for delivery in that reporting year and then explain the achievements, progress made and/or difficulties experienced against each objective. Most of this information can be copied directly from the Corporate Plan developed for the year being reported. A tabular presentation can be used. This should set out:

- a) The main activities of the Ministry and the services that have been provided, including disaster recovery initiatives and any data that the Ministry has had on the use of services and on their impact;
- b) Service Delivery is a significant issue and issues such as increased access to services (including the provinces) and performance improvement achieved need to be highlighted.

2. Report Against Annual Development Report (ADR) Targets:

Achievement by the agencies of the Ministry proscribed in the Annual Development Report against the targets of the National Sustainable Development Plan (NSDP);

3. Report Against Ministry Budget Narrative

Performance measures listed in the Ministry Budget Narrative should be specifically referred to, including progress achieved against each;

4. Policy Development

Any new policies that have been formulated, reviewed or retired by the Ministry. This can usefully be provided in tabular form, indicating Implementation Plan development & other Ministries and agencies partnering the policy delivery;

5. Portfolio Legislative Framework

The Annual Report should contain a list of any new legislation that has been passed by the Parliament legislation or parts of legislation during the year by the Minister. Any transfer of responsibility of legislation occurring throughout the year should be specified.

6. Conventions

Any new Conventions agreed to in the reporting year for which the Ministry is responsible or contributes to should be added to a table of existing Conventions also indicating ratification status and implementation progress.

7. Risks/Challenges

- Any major emerging issues that affected the Ministry's work (e.g. economic problems in a province, natural disasters).

Human Resources

Staffing information in Annual Report should include data such as:

- The total number of permanent employees, disaggregated by gender and language group;

- Full-time, probationary, contract and daily-rated staff numbers, disaggregated by gender and language group;
- Geographic distribution of officers throughout provinces;
- Cessation of Employment in the period: Retirements, Redundancies & Terminations;
- Compliance Report (Discipline Cases);
- Leave Accrual Analysis;
- Scholarships (area of study, subject & level disaggregated by gender and language group);
- Training delivered with a description of the training being undertaken: area of study, subject, delivery agency;
- Analysis of initiatives undertaken to improve equity and inclusivity.

The Annual Report should contain a summary of significant developments during the year in relation to staff management issues such as the staffing impact of budget changes or changes to Corporate Plan strategies and summary details of the outcomes of the Human Resource Development Plan.

Financial Statements

The Annual Report should contain financial statements, as listed below, for audit purposes. The financial statements (as per Section 24 of the *Public Finance and Economic Management Act 1998*) must include the following information in a format to be set by the Director General of the Ministry of Finance and Economic Management. Reports producing these statements are set up on the FMIS. Ministries have been trained on the process to access the statements and prepare their Annual Reports. Whoever coordinates the Annual Report i.e. the Executive Officer (EO) working with the Ministry senior financial officer (Finance Manager and/or Finance Officer) should liaise with MFEM to access these statements for inclusion in the Annual Report.

- Statement of Representation,
- Statement of Appropriation,
- Expense Summary Report,
- Statement of Commitments & Contingencies

These financial statements can be drawn from MFEMS FMIS on request from the Ministry's Finance Manager/Finance Officer.

Development Projects

The Annual Report should list and describe the activities of any technical assistance attached to the Ministry and all major development projects carried out during the year. A tabular format is recommended.

Statutory Authorities

The Ministry's Annual Report should list any statutory authorities or offices set up within the Ministry by its own legislation and indicate whether the authorities or offices produce Annual Reports of their own. If not, a section within the Ministry Annual Report may be devoted to the authority or office.

Non-Statutory Bodies

The Annual Report should contain a list of non-statutory bodies, e.g. government owned companies of which the Ministry is the parent body.

Reports by the Auditor General

The Annual Report should contain a list showing the titles and tabling dates of reports by the Auditor General (if any) that were tabled in the Parliament during the year that referring to the operation of the Ministry and any remedial action that was taken.

Comments by the Ombudsman

The Annual Report should list and briefly describe the reports to the Ministry made by the Ombudsman (if any) and provide a summary statement of action in tabular form taken by the Ministry during the year in response to these reports.

Right to Information

If requests have been received under the Right To Information Act, these should be listed in tabular form.

Decisions of Courts

The Annual Report should contain a list of any judicial decisions handed down during the year which significantly affect, or in the Director General's view could in future significantly affect, the operation of the Ministry.

Complaints Mechanisms

The Annual Report should contain a brief description of any measures in place expressly for monitoring and handling complaints about the operation of the Ministry received from its clients both inside and outside the public service.

The Annual Report should contain a summary of the main areas of any dissatisfaction monitored or handled by such measures, including a summary of any changes to operations which the Ministry introduces as a result of complaints or suggestions by clients both inside and outside the Vanuatu Public Service.

Equity

The Annual Report should contain a summary of action taken by the Ministry during the year to enhance inclusion, equity, equality, access and participation for its staff and customers.

Capital Expenditure

Whilst the Ministry for Infrastructure reports on capital works expenditure, the Annual Report should include brief information about each major approved capital item, including vehicles, acquired by the Ministry and its Departments/Agencies.

Fraud Control

The Annual Report should contain a brief summary of any action taken by the Ministry during the year to assess the risk of fraud and to develop and implement plans or other arrangements for fraud control where a risk has been discovered or fraudulent activity has in fact occurred.

Contact Officer

Finally, the Annual Report should give details (title, address, telephone number) of the contact officer to whom inquiries or comments about the report may initially be addressed. If the DG has nominated an officer to coordinate the Annual Report, as suggested previously (see Reporting Style and Process), that person i.e. Executive Officer would, in all likelihood, be the contact officer.

Assistance

For questions and suggestions regarding these Guidelines and for any assistance in the preparation of reports, contact the Manager, Corporate Services Unit (CSU) OR Manager, Performance Improvement Unit (PIU) within the Public Service Commission.

